

to come in and make sure you have six people on duty and that they are clean and well dressed. You have to see to it that the store is clean. You have to check inventory to be sure you have enough coffee and milk and cups and napkins. Then you open the door and the people line up and you make coffee for them. You basically follow a routine, and what has to be done tomorrow is very much like what has to be done today.

Now think about the office of a mutual fund manager or any other money manager. With a couple of hundred stocks in the portfolio and ten thousand other stocks out there that could be new or better investments, the key question is how you can get the most value out of your staff of expensive analysts. Where do you concentrate your efforts? How can you add some value? It's easy to do busywork or call companies you own and like and have easy access to, but that's not going to move you forward very much. Stocks are fairly priced most of the time, so if the analysts are going to do something useful, they'll have to spend their time looking for the ones that aren't, where their effort will make a difference. Those who come from a computer software background would regard it as a database problem.

At Acorn, we try to estimate rates of return for all the companies that have attracted us for one reason or another and that we know something about—six or seven hundred of them, including the ones we own; and the universe expands and contracts as we bring companies in and out of our focus. We review this list every week. It's clear that about a half-dozen possibilities for new investments really look as though they promise a high rate of return. Another bunch seems marginal.

We try to estimate the price range in which a stock ought to sell. As long as the stock is bouncing around within that range, that's fine. You want to sound the alarm bell only when stocks move outside that range, when all of a sudden your estimates and the market's estimates are severely different. However, the fact that a signal is flashing doesn't necessarily tell you what to do. It just tells you